Supreme Court, U.S.
FILED
DEC 28 1998
OFFICE OF THE CLERK

No. 98-783

In The

Supreme Court of the United States

October Term, 1998

IRENE L. WRIGHT, on behalf of herself and all others similarly situated,

Petitioner,

-v-

ERNST & YOUNG LLP,

Respondent.

On Petition for Writ of Certiorari to the United States Court of Appeals for the Second Circuit

REPLY BRIEF

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Pursuant to Rule 15.6 of the Rules of this Court, Petitioner Irene L. Wright respectfully submits this brief in reply to the Brief for the Respondent in Opposition filed with this Court on December 14, 1998 ("Res. Br.").

INTRODUCTION

First, in opposing petitioner's writ, respondent Ernst & Young LLP ("E&Y") argues that under any of the disparate tests applied by the various circuits for determining liability for secondary actors under the Securities and Exchange Act of 1934 (the "Exchange Act") interpreting *Central Bank of Denver v. First Interstate Bank of Denver*, 511 U.S. 164 (1994), Ms. Wright's claim would be dismissed. Not only is this argument factually inaccurate (as discussed below), but respondent, in analyzing three of the different tests currently being applied respectively by three of the circuits to have considered this issue, has unwittingly highlighted the need for review by this Court.

Second, given respondent's acknowledgment of this clear conflict among the circuits, E&Y's assertion, made without any legal authority, that it is somehow too early for the Court to consider the issue because there is not yet sufficient confusion among the circuits is without merit. As several of this Court's prior decisions make clear, there is no established threshold for the number of circuits that must disagree on an issue before this Court will address conflicting interpretations of a question of law among the circuits. Indeed, the varying interpretations by the Second Circuit on the issue presented in this petition alone demonstrate that the time is ripe for clarification of this Court's decision in *Central Bank*.

Finally, conspicuous in its absence is any reference by respondent to the split among the circuits on the key issue of attribution. Indeed, respondent's failure to even attempt to reconcile the holdings of *Wright v. Ernst & Young LLP*, 152 F.3d 169, 175 (2d Cir. 1998) ("a secondary actor cannot incur primary liability under the Act for a

statement not attributed to that actor"), and *Klein v. Boyd*, [Current Transfer Binder] Fed. Sec. L. Rep. (CCH) ¶ 90,136, at 90,324 (3d Cir. Feb. 12, 1998), *vacated, Klein v. Boyd* [Current Transfer Binder] Fed. Sec. L. Rep. (CCH) ¶ 90,165 (3d Cir. Mar. 9, 1998) (liability may attach "even when the secondary actors are not identified to the investor"), undermines respondent's hypothesis that insufficient disagreement exists among the circuits for this Court to grant petitioner's writ.

ARGUMENT

I. Respondent Has Mischaracterized Petitioner's Factual Claims

As an initial matter, respondent's recitation of the facts on which it bases its argument that plaintiff cannot state a claim under any circuit's interpretation of *Central Bank* is inaccurate. Respondent asserts that petitioner's allegations concerned E&Y's recklessness in not discovering that "rogue employees of [BT Office Products International, Inc. ("BT")] had engaged in theft and fraud." Res. Br. at 3. This is not the gravamen of petitioner's claim nor is it the question reviewed by the Second Circuit below. Rather, petitioner claims that E&Y is culpable under Section 10(b) of the Exchange Act because it represented to management of BT that BT's 1995 year-end financial results were sufficiently accurate to disseminate to the public despite E&Y's knowledge of numerous unexplained "red flags" discovered in the course of its audit of BT, including a $3.9 million under-accrual in accounts payable at BT's New York Division. Although E&Y discovered this under-accrual in January of 1996, it failed to investigate further, concluding, without reasonable basis, that the under-accrual was not material because there had been a similar under-accrual the previous year. E&Y's conclusion, reported to management of BT, that the under-accruals somehow offset each other, was reckless in the extreme because, *inter alia*, E&Y had not even

audited BT's New York Division in 1994. Thus, E&Y had no idea whether the 1995 under-accrual had any relation to that of 1994.

Nevertheless, on January 22, 1996, having completed its audit field work for the 1995 fiscal year, the audit engagement partners from E&Y gave the Chief Financial Officer of BT, John McKiernan, their assurance that BT's 1995 financial results were accurate. E&Y knew at the time of the meeting that the purpose of BT's obtaining E&Y's assurance on the accuracy of the 1995 financial results was to immediately release them to the public. Based on E&Y's assurances, without which, according to Mr. McKiernan, the disclosure of the 1995 financial results would not have occurred, BT issued a press release on January 30, 1996, (the "January Press Release") announcing what were undisputedly materially inflated and false financial results. As a result, BT's share price rose nearly eight dollars during the following two months. When the inaccuracies of those financial results were revealed on March 28, 1996, the share price dropped nearly 25% in one day.

II. The Question Presented For Review Is Properly Before This Court

Resting on its mischaracterization of the facts, respondent argues that because the January Press Release does not recite E&Y's assurances to BT as to the accuracy of the 1995 financial results or BT's complete reliance on those assurances, E&Y's misstatements were not communicated to investors, and, thus, the question petitioner has presented for review is not raised in this case. Res. Br. at 7. A review of the January Press Release itself belies this assertion.

The January Press Release contains two parts: (1) a narrative description of BT's 1995 operations and the reasons for its 1995 financial results; and (2) the numerical financial results themselves, contained both in the body of the January Press Release and in an annexed

chart. It is the numerical results alone that petitioner contends are false and actionable, not the accompanying narrative. It is these numerical results that E&Y knew would be made public if, and only if, E&Y assured BT management that the results were sufficiently accurate such that any subsequent change in the year-end numbers would be immaterial. These figures and their dissemination were, thus, virtually the sole province of E&Y, with BT acting as a mere conduit to the investing public.

Respondent simply glosses over these allegations by asserting that the public never knew about E&Y's "private advice to its client." Res. Br. at 4. However, that is precisely the question raised by this petition – whether the investing public's lack of knowledge of the pivotal role of a secondary actor, like E&Y here, in the preparation and dissemination of false and misleading financial results that such secondary actor knew would be communicated to the public, shields that secondary actor from liability. This narrow attribution question is one over which the circuits have split, and is, therefore, properly before the Court at this time.

III. The *Klein* Decision Is Squarely At Odds With The Second Circuit

By ignoring the actual question presented by this petition, respondent avoids discussing the reasoning which has led to the split between the Second and Third Circuits regarding the need for attribution. Instead, it simply insists that the Third Circuit's ruling in *Klein* has no precedential value because it was vacated pending *en banc* review. In *Klein*, the Third Circuit sets forth a test that explicitly disagrees with the Second Circuit's holding in *Wright*. The *Klein* court found that attribution was irrelevant as long as the secondary actor "significantly participate[d] in the creation of their client's misrepresentations, to such a degree that they may fairly be deemed authors or co-authors. . . . " (CCH) ¶ 90,136 at 90,324. In

Klein, a law firm was subject to liability for its role in disseminating disclosure documents even though the firm was not identified in the documents. Clearly, given the undisputed facts here, E&Y could be deemed a co-author of the statement under the *Klein* test, since without its participation, no year-end financial results or commentary about those results would have been issued by BT.

The ultimate conclusion of the *en banc* panel in *Klein* will never be known, because the case has now been settled for an undisclosed amount.[1] However, this Court may take note of a vacated decision in its evaluation of a split among the circuit courts. In *Bateman Eichler, Hill Richards, Inc. v. Berner*, 472 U.S. 299, 305 (1985), this Court granted *certiorari* because "[t]he lower courts have divided over the proper scope of the *in pari delicto* defense in securities litigation." In coming to this conclusion, this Court cited a vacated case from the Fifth Circuit, *Woolf v. S.D. Cohn & Co.*, 515 F.2d 591 (5th Cir. 1975), *vacated and remanded on other grounds*, 426 U.S. 944 (1976). *See Bateman*, 472 U.S. at 305 n.10. *See also Basic, Inc. v. Levinson*, 485 U.S. 224, 247 n. 25 (1988) (noting a *vacated* Second Circuit decision in demonstrating consensus among circuit courts). Therefore, that the original Third Circuit panel's decision in *Klein* was vacated does not diminish in the least the evidence it provides of confusion among the circuits on the key attribution question. This Court may certainly consider that evidence in evaluating whether to grant a writ of *certiorari*.

Indeed, the district court for the Northern District of Georgia, foreshadowing events in the Eleventh Circuit, recently issued a decision which closely follows the reasoning in *Klein*. *See Carley Capital Group v. Deloitte & Touche, L.L.P.*, No. 1:97-CV-3183-TWT, slip op., (N.D. Ga.

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[1] Duffy, Shannon P., "Firm Settles; Ruling On SEC Act Stands," *The National Law Journal*, December 7, 1998 at A5.

Nov. 16, 1998) (set forth at 1a in Petitioner's Supplemental Brief To Petition For A Writ Of Certiorari ("Supp. Br."), filed with this Court on December 9, 1998). The *Carley Capital* court is the only court in the Eleventh Circuit to have discussed primary liability for secondary actors in the wake of *Central Bank*, and respondent's failure to address this case, or, for that matter, the SEC's *amicus curiae* brief (Supp. Br. at 38a), heavily relied upon by the *Carley Capital* court, is symptomatic of its refusal to address the actual issue presented by petitioner's writ.

IV. Respondent's Conduct Is Actionable Under The Ninth And Tenth Circuit Tests

Respondent also argues that this case should not be reviewed because under the facts presented here, E&Y could not be held liable under any of the different tests utilized by the other respective circuits that have considered the issue. However, respondent would not only be liable under the Third Circuit's *Klein* test, but would likely have been held liable under the other different tests interpreting *Central Bank* devised by the Ninth and Tenth Circuits. Importantly, all of these standards contradict at least one version of the Second Circuit's various tests.[2]

The Ninth Circuit in *In re Software Toolworks Inc.*, 50 F.3d 615, 628 n.3 (9th Cir. 1994), stated that a secondary actor could incur primary liability if that actor had played a "significant role" in the dissemination of misleading statements (the "substantial participation" test). In *Software Toolworks*, the accounting firm defendant was subject to liability where it had helped its client prepare two misleading letters to the Securities and Exchange Commission. Respondent asserts that the accounting firm's conduct in *Software Toolworks* went far beyond that of E&Y's alleged conduct here. Res. Br. at 10-11. That

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[2] For a discussion of the various Second Circuit rulings on this issue, *see* Petition for a Writ of Certiorari ("Petition") at 8-9.

assertion ignores petitioner's key allegations. Quite simply, *but for* E&Y's representations to BT, no public misrepresentation would have occurred at all, because the January Press Release would never have been issued. In fact, E&Y's participation in the dissemination of the false financial results to the public was not merely "substantial" or "significant," it was absolutely *definitive*. Differing sharply from the Second Circuit's decision here, *Software Toolworks* did not require direct attribution; the focus was on the *conduct* of the secondary actor, not its identification. Thus, E&Y, according to its own rendition of the facts, would be liable under the Ninth Circuit's test.

Respondent also asserts that the Tenth Circuit's decision in *Anixter v. Home-Stake Production Co.*, 77 F.3d 1215 (10th Cir. 1996), applies the same test as did the Second Circuit in this case (Res. Br. at 12), and therefore that petitioner's claims would fail under the Tenth Circuit's test. Respondent is wrong on both counts. For primary liability of a secondary actor to exist, both the Second Circuit in *Wright* and the Tenth Circuit in *Anixter* have held that there is no requirement that an alleged violator directly communicate with investors so long as the secondary actor knew or should have known that its representation would be communicated to investors. However, the Second Circuit's decision in *Wright* injected the additional condition that "a secondary actor cannot incur primary liability under the Act for a statement not attributed to that actor at the time of its dissemination." Petition at 12a. It is the addition of this attribution element in the Second Circuit's interpretation of *Central Bank* (which is not found in *Anixter* and is, in fact, contradicted by *Klein*) which gives rise to this petition.

Respondent seizes on the phrase "his misrepresentation" in *Anixter* to support its conclusion that the Second Circuit and *Anixter* actually applied the same test, despite that the Second Circuit requires attribution and *Anixter* does not. Respondent essentially argues that the above

language in *Anixter* means that the exact misrepresentation of the secondary actor must be repeated by the primary actor. However, the *Anixter* court did not so hold. Rather, the court set forth a flexible standard, significantly different than that used by the *Wright* court (and also different from that in *Software Toolworks*) and one under which E&Y would likely have incurred primary liability here:

> Reading the language of § 10(b) and 10b-5 through the lens of *Central Bank of Denver*, we conclude that in order for accountants to "use or employ" a "deception" actionable under the antifraud law, they must themselves make a false or misleading statement (or omission) that they know or should know will *reach* potential investors. In addition to being consistent with the language of the statute, this rule, though far from a bright line, provides more guidance to litigants than a rule allowing liability to attach to an accountant or other outside professional who provided "significant" or "substantial" assistance to the representations of others.

77 F.3d at 1226-27 (emphasis added).

The Tenth Circuit's use of the word "reach," and comment that this is not a bright line test, counsel against respondent's restrictive reading of *Anixter*. Since plaintiff has properly alleged that E&Y knew that its representations as to the accuracy of the false financial results would be communicated to the market through the public dissemination of these figures, E&Y would be liable under *Anixter*.

V. The Issue Raised In This Petition Is Ripe For Consideration By This Court

Respondent urges this Court to wait for lower courts to continue to consider the issue raised in this petition since "only" three circuit courts (respondent fails to include the vacated *Klein* decision, which would bring the

total to four) have done so thus far (Res. Br. at 16).[3] Petitioner disagrees. This Court has not made a practice of waiting for all circuits to weigh in on a question before clarifying its own decisions. Rather, it has been the practice of this Court to grant *certiorari* when important issues require clarification, without adhering to a rigid rule concerning the number of lower courts to address a particular issue.

In one leading securities case, *Basic, Inc. v. Levinson*, 485 U.S. 224, 230 (1988), this Court granted *certiorari* to resolve an issue, that had been addressed by only three circuit courts, concerning the proper materiality standard to be applied in securities cases. *See also Aaron v. Securities and Exchange Commission*, 446 U.S. 680 (1980) (split among two circuit courts and a district court on one issue and three circuit courts on another). In fact, this Court has granted *certiorari* in securities cases in the absence of a circuit split. *See, e.g., Dirks v. Securities and Exchange Commission*, 463 U.S. 646, 652 (1983) (in clarifying an earlier case, this Court stated that "[i]n view of the importance to the SEC and to the securities industry of the question presented by this case, we granted a writ of certiorari."). Further, respondent offers no countervailing authority illustrating a practice of this Court to await a specific number of circuit court decisions or a particular level of chaos or legal uncertainty within the federal judiciary before granting *certiorari*.

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[3] Notwithstanding respondent's assertion that this Court should not act as a watchdog over the Second Circuit's internal inconsistencies (Res. Br. at 15), the intra-circuit confusion in the Second Circuit is symptomatic of the confusion not only among, but within, the circuits concerning the limits of *Central Bank*. Respondent itself, in fact, admits that the issue of primary liability for secondary actors is "in a state of flux." Res. Br. at 16.

CONCLUSION

For the reasons set forth above and in petitioner's opening and supplemental briefs, petitioner submits that this case presents an ideal and necessary opportunity for this Court to clarify its holding in *Central Bank*.

Respectfully submitted,

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